

Multiple Choice (10 marks)

1. What is meant by near-money? Give an example.
 - (a) Near-monies are physical currencies
 - (b) Near-monies are long-term investment bonds
 - (c) Near-monies are commodities used for barter
 - (d) Near-monies are precious metals such as gold and silver
 - (e) Near-monies are ownership stakes in real estate
2. Assume the reserve requirement is five percent. If the FED sells \$10 million worth of government securities in an open market operation then the money supply can potentially
 - (a) decrease by \$200 million.
 - (b) decrease by \$100 million.
 - (c) increase by \$200 million.
 - (d) decrease by \$10 million.
 - (e) increase by \$500 million.
3. Which of the following is true of money and financial markets?
 - (a) As the demand for bonds increases the interest rate increases.
 - (b) For a given money supply if nominal GDP increases the velocity of money decreases.
 - (c) When demand for stocks and bonds increases the asset demand for money falls.
 - (d) A macroeconomic recession increases the demand for loanable funds.
4. Compared to perfect competition in the long run, monopoly has
 - (a) more price stability.
 - (b) more choices of products for consumers.
 - (c) lower prices.
 - (d) more efficiency.
 - (e) less market control.
5. Which of the following is equal to one?
 - (a) The elasticity of the long-run aggregate supply curve
 - (b) The spending (or expenditure) multiplier

- (c) The investment multiplier
- (d) The balanced budget multiplier
- (e) The aggregate demand multiplier

True / False (10 marks)

Answer True or False

6. True or False: The Rule of 72 is a banking guideline used to determine the impact of inflation on savings accounts over time.
7. True or False: When the value of the U.S. dollar appreciates, U.S. residents are likely to take more vacations in foreign countries.
8. True or False: If GNP is 2,050,000 and capital consumption is 500,000, the NNP would be \$2,100,000.
9. True or False: Raising taxes on disposable income is a measure typically used to address built-in inflation by reducing consumer demand.
10. True or False: Expectations of a future price increase will lead producers to decrease the supply of the product in the present.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how a higher rate of inflation in a nation, compared to its trading partners, can impact its trade deficit. Include mechanisms and potential consequences in your analysis.
12. Discuss how increasing costs, as a result of decreasing returns to scale, impact the degree of specialization in production processes. Provide examples to support your analysis.

End of Paper